

Pinnacle Cloud Systems, Inc. — Stock Plan Supplemental Statement (2025)

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RSU Vesting Activity (income in W-2 box 1 & box 14)

Vest date	Shares	FMV/share	Ordinary income	Shares withheld	Net shares	Fed tax @22%
07/15/2025	210	\$100.00	\$21,000.00	76	134	\$4,620.00
10/15/2025	200	\$98.00	\$19,600.00	71	129	\$4,312.00
12/15/2025	195	\$98.97	\$19,400.00	70	125	\$4,268.00
Total	605		\$60,000.00	217	388	\$13,200.00

RSU ordinary income totals \$60,000.00 (= W-2 box 14, included in box 1). Federal tax withheld at the 22% supplemental rate totals \$13,200.00 — below the 24% marginal bracket, the source of under-withholding.

ESPP Purchase History

Purchase	Shares	Purchase price	FMV at purchase	Discount %	Discount income
06/30/2025	90	\$72.25	\$85.00	15%	\$1,147.50
12/31/2025	85	\$74.10	\$87.20	15%	\$1,113.50
Total	175				\$2,261.00

ESPP shares were purchased at a 15% discount via a 6-month lookback. The discount is ordinary income; a sale within 1 year of purchase / 2 years of offering is a disqualifying disposition. The ESPP shares are not among the lots sold in 2025 (see page 3).

Cost-Basis Correction for Shares Sold in 2025

Lot	Shares	Acquired	Broker basis	Comp. already taxed	ADJUSTED basis	Proceeds	Correct LT gain
PNCL RSU	260	05/14/2023	\$9,000.00	\$3,400.00	\$12,400.00	\$14,200.00	\$1,800.00

The broker-reported basis (\$9,000.00) omits \$3,400 of compensation already taxed on the W-2. Using the adjusted basis \$12,400.00 yields the correct long-term gain \$1,800.00, versus \$5,200.00 on the unadjusted 1099-B — a \$3,400 overstatement. Report on Form 8949 with adjustment code B.

Holding Periods, Outstanding Grants & Tax Summary

Outstanding (Unvested) RSUs at Separation (04/30/2026)

Grant	Granted	Unvested shares	Next vest	Status
2024 annual	08/2024	420	07/15/2026	Forfeited (RIF)
2025 sign-on	02/2025	160	07/15/2026	Forfeited (RIF)
Total forfeited		580		

2025 Equity Income Tax Summary

Item	Amount
RSU ordinary income (box 14)	\$60,000.00
ESPP discount income	\$2,261.00
Federal tax withheld on RSU vests (22%)	\$13,200.00
Realized LT gain on sold PNCL lot (adjusted)	\$1,800.00

Holding period for capital-gain treatment runs from each vest/purchase date. The PNCL lot sold 11/08/2025 was long-term. Mobility: equity income is sourced to CO for 2025.